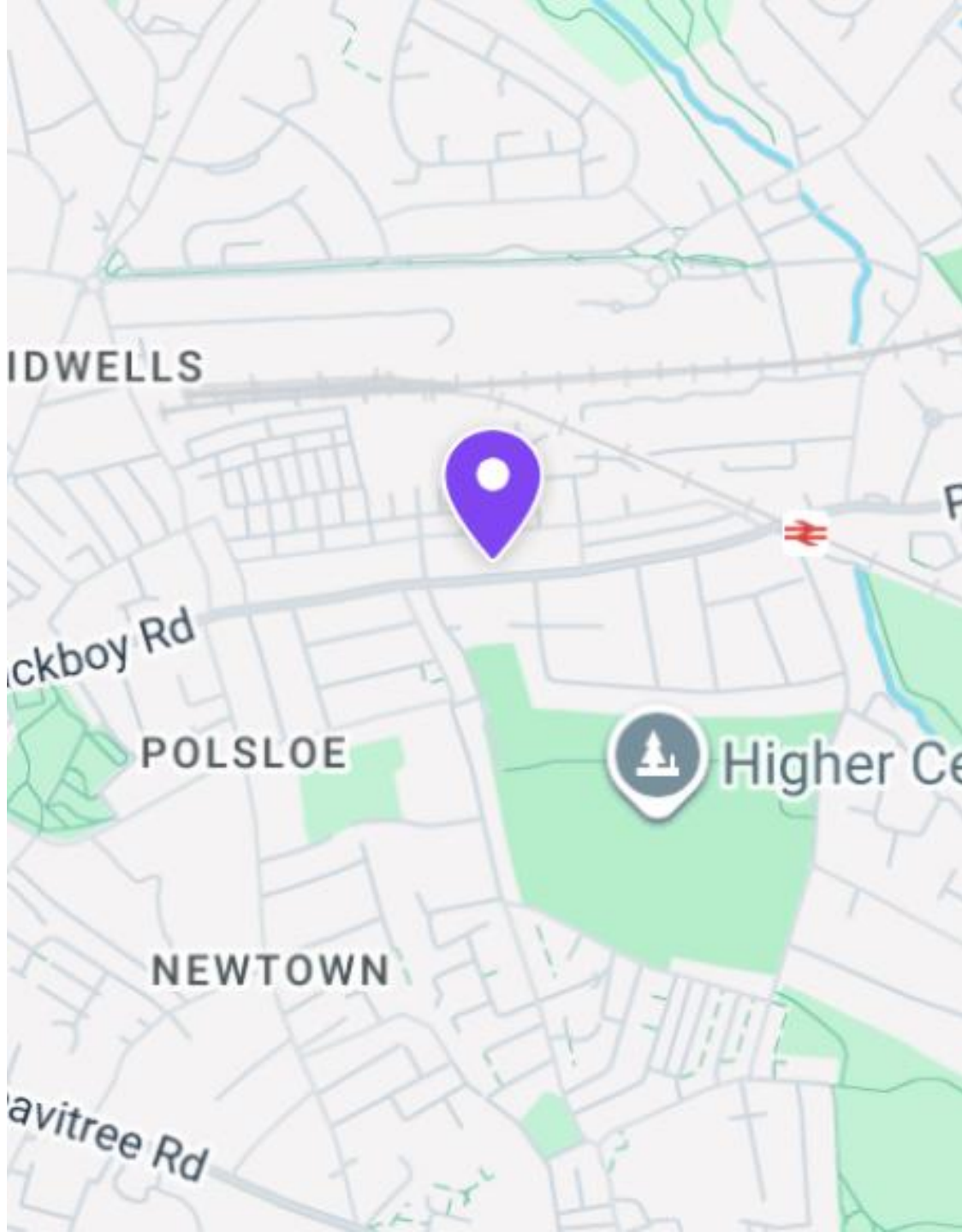


PINHOE ROAD, EXETER, EX4



Presented by Damian Rusecki



INTRODUCTION TO AREA

- Between both Exeter city campuses, St Luke's, and Streatham.
- 10-minute walk from city center
- 5-minute walk from Morrisons
- Multiple social pubs on the road and nearby area
- Laundromat 2 minutes away should it be needed
- 3-minute walk to nearest train station



COMPARABLE PROPERTY VALUATION

4 sales within the last 18 months (Same property type and street):

- 26/09/24 - £300,000
- 14/02/25 - £294,000
- 18/03/25 - £315,000
- 20/10/25 - £295,000

Avg. £301,000

Condition:

All properties above were sold at very good presentable quality, with little to no work needed doing. This is different to our situation. The Property requires a near total refurb and holds potential for a 5th room (To be discussed).

3. REFURBISHMENT COST BREAKDOWN

	Cost (£)			Notes
Full kitchen replacement	£7,000			HMO-grade units, supply & fit
Bathroom refurb (existing)	£4,000			Retile, new suite, ventilation
Second bathroom addition	£7,500			Required for 4+ occupant ratio
Fire doors throughout	£3,500			6-8 doors, self-closing hinges
Interlinked smoke/heat alarms	£1,200			HMO mandatory requirement
Full redecoration throughout	£4,500			All rooms, ceilings, woodwork
Carpet replacement throughout	£3,000			Bedrooms, stairs, communal
Garden clearance	£600			Overgrown — photos confirm
Living room → 5th bedroom conversion	£6,500			Partition, door, furniture, compliance
Subtotal (before contingency)	£37,800			
Contingency (15%)	£5,670			Always add 15% — costs always overrun
TOTAL REFURBISHMENT	£43,470			Working budget figure

REFURB
ESTIMATE.
(BEFORE VIEWING)

The cost of total refurbishment gives us means to negotiate to a lower agreed sale price. With prior, higher standard, sales of the same property type, it can be shown to the seller why their asking price is unreasonable.

HMO PLAN

PLANNING AND INCOME PROJECTION

HMO permissions:

House in multiple occupation for 4 persons (Use Class C4)
(Certificate of lawfulness of existing use)
126 Pinhoe Road Exeter EX4 7HJ
Ref. No: 25/1682/LED | Validated: Wed 26 Nov 2025 | Status: Decided

- Property is already legally allowed to hold 6 unrelated tenants (Class C4).
- Living room downstairs could be refurbished into a 5th bedroom, that is where the investment becomes profitable.

2. RENTAL INCOME PROJECTION				
	Monthly (£)	Annual (£)		Notes
Bedroom 1 (large, bay window)	£625	£7,500		Bills excluded
Bedroom 2	£575	£6,900		Bills excluded
Bedroom 3 (small)	£525	£6,300		Bills excluded
Bedroom 4	£575	£6,900		Bills excluded
Bedroom 5 (converted living room)	£550	£6,600		Bills excluded
Gross monthly income	£2,850	£34,200		Sum of all rooms

CASH REQUIREMENTS,
ANNUAL RUNNING COSTS,
AND RETURNS ANALYSIS

CASH REQUIREMENTS

4. TOTAL CASH REQUIRED

	Amount (£)			Notes
Deposit (25%)	£67,500			25% of purchase price
Refurbishment (total)	£43,470			From Section 3
Stamp duty (SDLT)	£14,500			Additional dwelling surcharge: 5% up to Solicitor, searches, disbursements
Legal fees	£2,000			RICS homebuyer or full structural
Survey / valuation	£600			Typical BTL broker fee
Mortgage broker fee	£500			
Sourcing fee (if applicable)	£3,500			Payable on exchange
TOTAL CASH REQUIRED	£132,070			Total capital the investor must deploy

ANNUAL RUNNING COSTS

5. ANNUAL RUNNING COSTS

	Monthly (£)	Annual (£)		Notes
Mortgage interest	£928	£11,138		Interest-only on mortgage balance
Management fee	£342	£4,104		12% of gross rent
HMO licence (amortised)	£13	£160		£800 / 5yr licence
Landlord / HMO insurance	£70	£840		Specialist HMO policy estimate
Maintenance reserve	£130	£1,560		£130/month — ongoing repairs
Void allowance	£164	£1,973		5 rooms × 3 wks void/yr
TOTAL ANNUAL COSTS	£1,648	£19,775		All running costs before profit

RETURNS ANALYSIS

6. RETURNS ANALYSIS

	Value	Benchmark		Assessment
Gross yield	12.89%	8.00%		Target: 8%+
Net annual income		£16,601		After all costs
Net yield	6.15%	6.00%		Target: 6%+
Monthly net cash flow		£1,383		After all costs incl. mortgage
Cash-on-cash ROI	12.57%	8.00%		Target: 8%+
Break-even occupancy	52.30%			% of gross rent needed to cover all

7. DEAL VERDICT

Gross yield vs 8% target	✓ PASSES	
Net yield vs 6% target	✓ PASSES	
ROI vs 8% target	✓ PASSES	